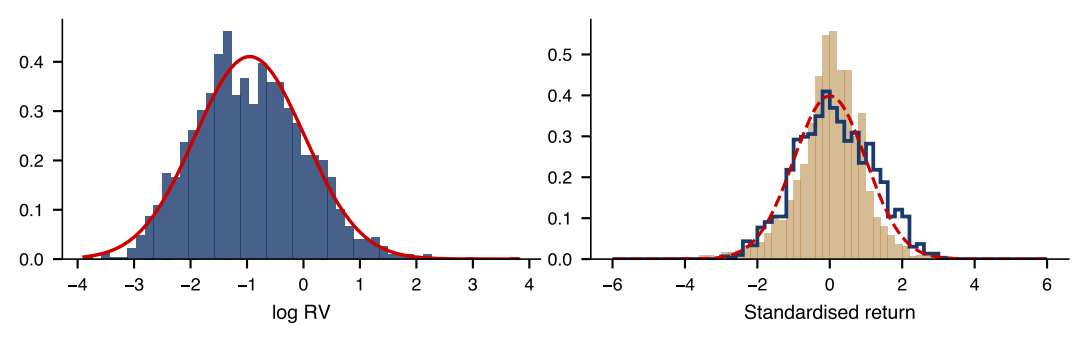
0.4
0.3
0.2
0.1
0.0
−4
−3
−2
−1
0
1
2
3
4
log RV
0.5
0.4
0.3
0.2
0.1
0.0
−6
−4
−2
0
2
4
6
Standardised return
log RV, SPY (daily)
Normal distribution, same mean and s.d.
Open-to-close return / its s.d.
Open-to-close return / $\sqrt{RV}$
Standard Normal distribution